

ASCII MASTER FLOW – PANEL 1/12: Policy signal versus implementation

MPC -> repo-rate signal

RBI OPERATIONS -> liquidity alignment

WACR -> operating target

TRAP -> stance and quantity are distinct

MUST REMEMBER: RBI monetary policy works through the policy rate, liquidity framework,...

ASCII MASTER FLOW – PANEL 2/12: Liquidity corridor

MSF -> overnight backstop

REPO -> collateralised injection

WACR -> market operating rate

SDF -> uncollateralised absorption

ASCII MASTER FLOW – PANEL 3/12: CRR versus OMO

CRR -> reserve impounding ratio

OMO -> outright G-sec transaction

CRR -> broad bank-resource effect

OMO -> durable liquidity + yield effect

ASCII MASTER FLOW – PANEL 4/12: MPC institution map

RBI GOVERNOR

MONETARY-POLICY DEPUTY GOVERNOR

ONE RBI OFFICER + THREE EXTERNAL MEMBERS

SIX MEMBERS -> repo decision

ASCII MASTER FLOW – PANEL 5/12: Inflation target frame

NOMINAL ANCHOR -> headline CPI

TARGET -> 4 per cent

TOLERANCE -> plus/minus 2 percentage points

MANDATE -> price stability while mindful of growth

ASCII MASTER FLOW – PANEL 6/12: Transmission chain

REPO + COMMUNICATION

- > WACR + funding + deposit rates
- > lending rates + credit + demand
- > output and inflation with lags

ASCII MASTER FLOW – PANEL 7/12: Pandemic package

REPO REDUCTIONS

CRR EASING

OMO PURCHASES

TARGETED LONGER-TERM LIQUIDITY

ASCII MASTER FLOW – PANEL 8/12: Pass-through frictions

EBLR LOANS -> faster response

DEPOSITS / LEGACY LOANS -> slower response

FRICTIONS -> funding + competition + risk

RESULT -> uneven burden

ASCII MASTER FLOW – PANEL 9/12: Forex-liquidity bridge

FOREX INTERVENTION

-> domestic liquidity changes

-> OMO / absorption offset

LIMIT -> volatility smoothing, not a fixed rate

ASCII MASTER FLOW – PANEL 10/12: Money multiplier

RESERVE MONEY

-> bank deposits and lending

LOWER CRR / LEAKAGE -> higher potential multiplier

LIMIT -> banks may hold reserves or avoid risk

CLOSE DISTINCTION: Repo policy rate is not every liquidity operation, liquidity surplus...

ASCII MASTER FLOW – PANEL 11/12: RBI balance-sheet traps

NOTES ISSUED -> liability

G-SEC / FX INTEREST -> income source

PAYMENT STORAGE -> supervisory direction

COMMITTEES -> match sponsor and subject

EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Preserve RBI Act, MPC, operating target and...

ASCII MASTER FLOW – PANEL 12/12: Monetary-policy answer spine

DIAGNOSE inflation and output

STATE MPC signal

MAP liquidity implementation

TEST transmission, growth and external limits